

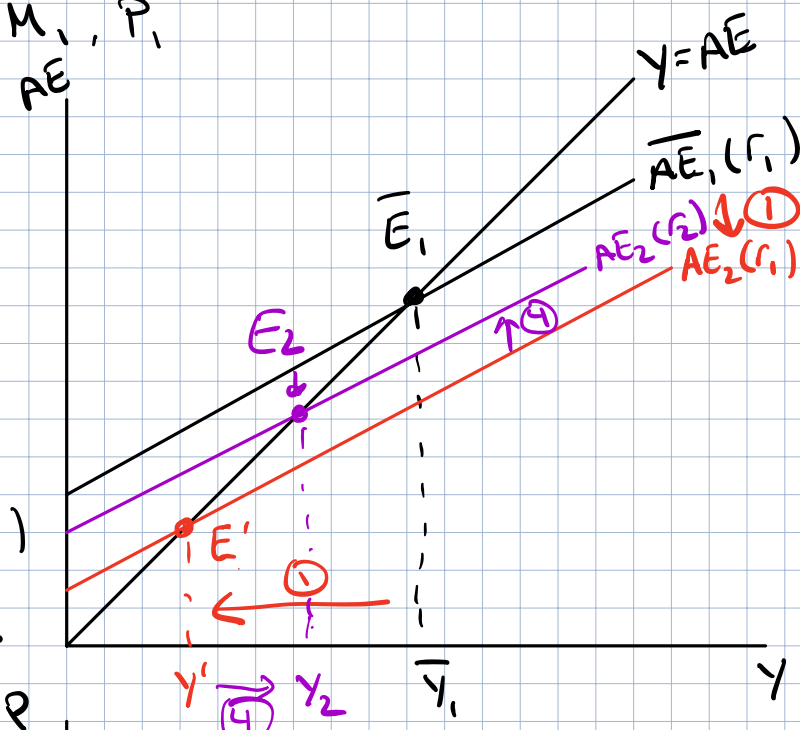
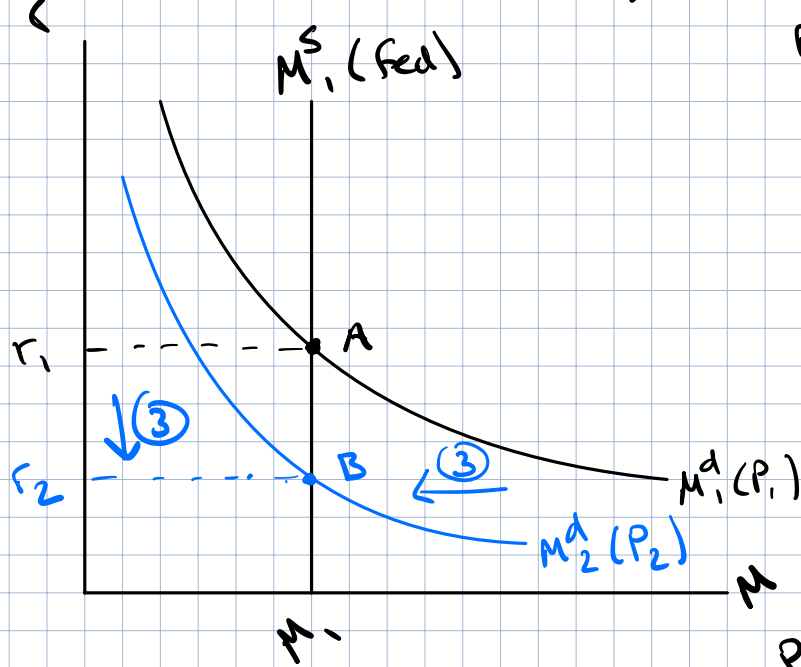
Econ 2 - Lecture 18 - 6/3/26 → Last Day of Lecture!

Lecture Quiz #9 Released today, due at 12AM on June 9th

Final Exam: 40 Questions, 2.5 Hours

Today: Simplifying Economic Shocks & Policy Analysis

Last Class: Start at $\bar{Y}$, r_1 , M_1 , P_1



Housing Market Crash

1) Wealth $\downarrow$, $AC \downarrow$, $IP \downarrow$, $AE \downarrow$, $Y \downarrow$

2) $Y \downarrow$, $P = P_1$ initially

New AD contains P_1 & Y'

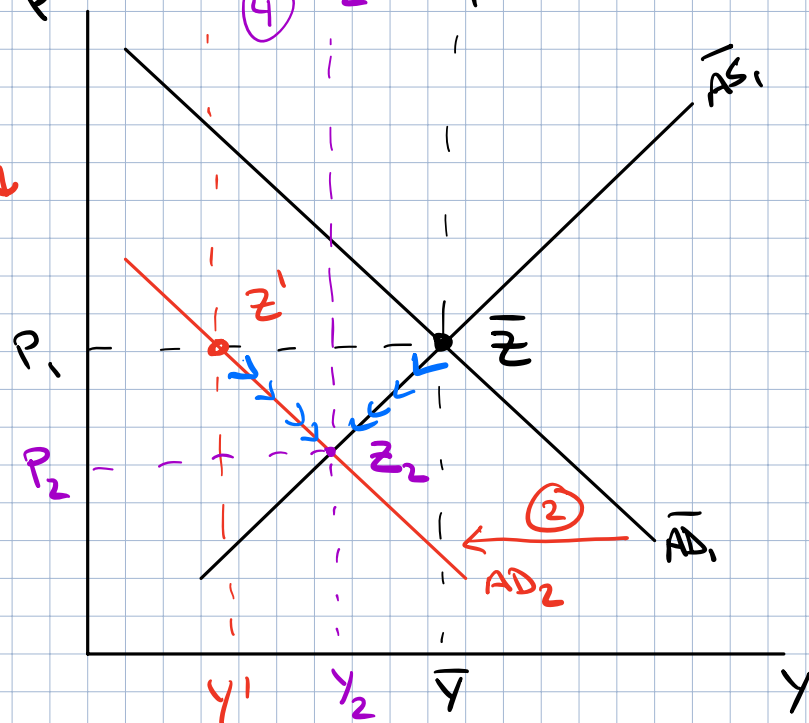
AD Shifts Left

3) Downward Pressure on Prices

$P \downarrow \Rightarrow M^d$ decrease (shift left)

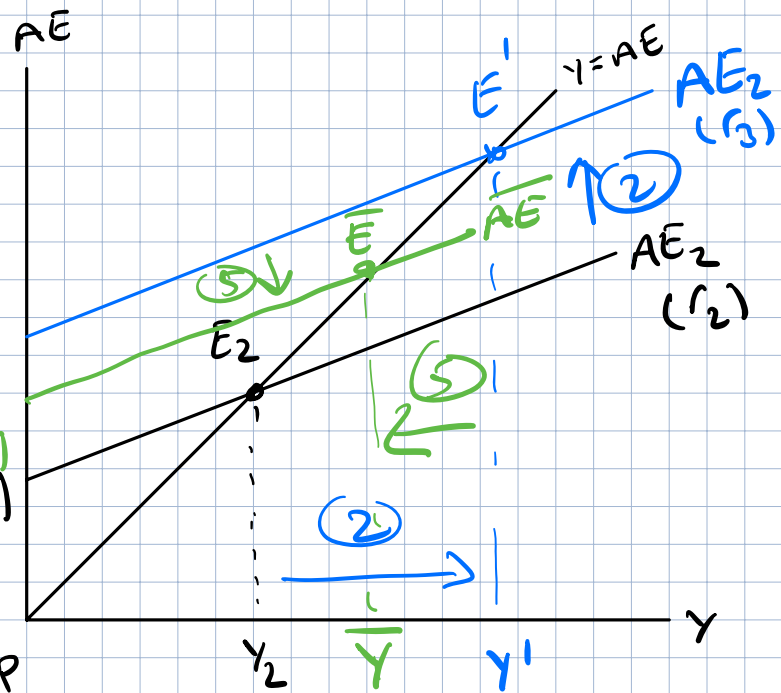
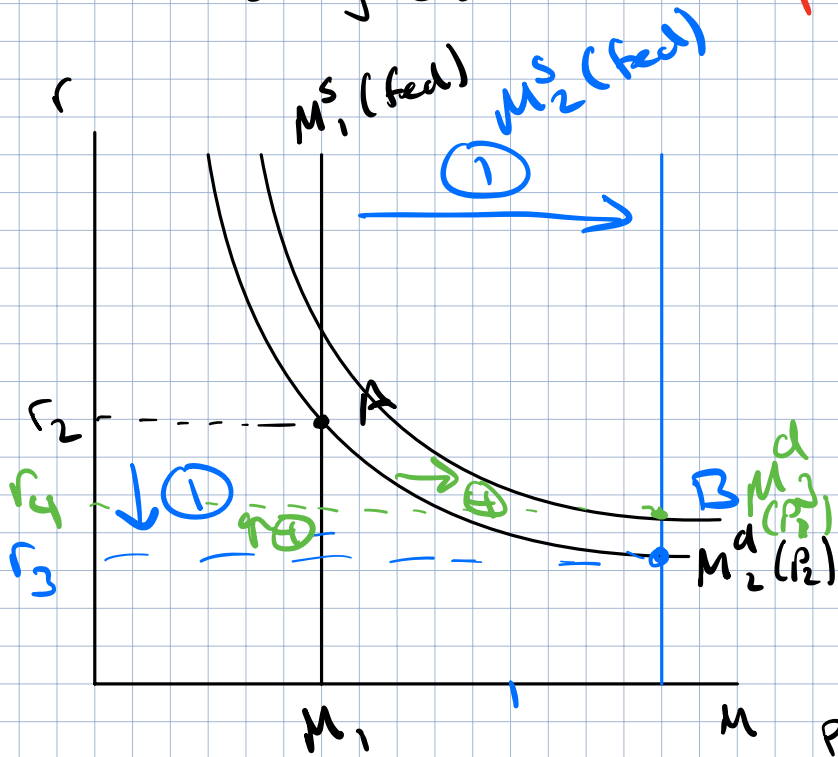
r_1 decreases to r_2

4) $AC \uparrow$, $IP \uparrow$, $AE \uparrow$, $Y \uparrow$



3 + 4 $\Rightarrow$ Move along AD Overall, $P \downarrow$, $Y \downarrow$, $r \downarrow$

Post-Housing Crash $\rightarrow$ Fed response?



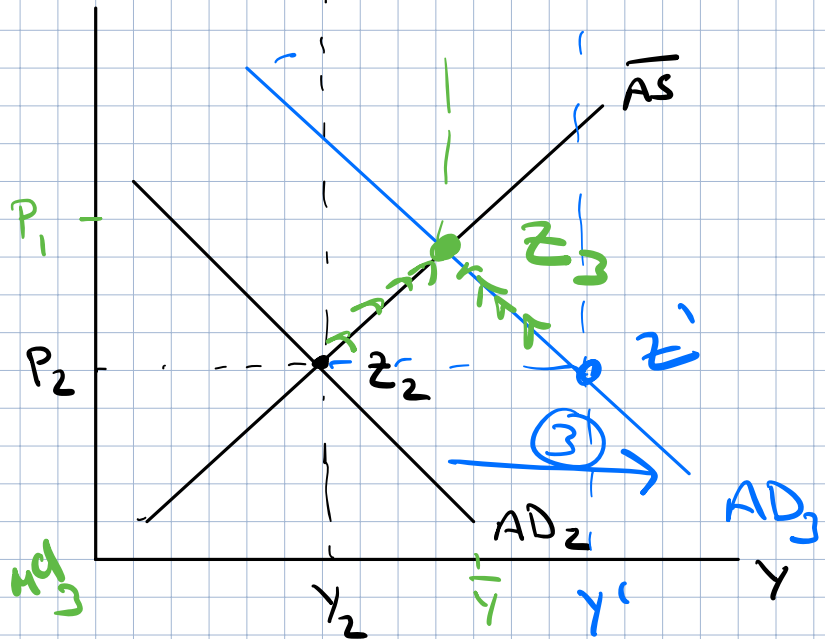
Buy bonds!

- 1) $\uparrow M^s \rightarrow M_2, \downarrow r_2$ to r_3
- 2) $AC, I^P \uparrow, AE \rightarrow Y \uparrow$
- 3) Same level of P_2 ,
Higher $Y \rightarrow Y' \rightarrow AD \uparrow$

- 4) Pressure on prices
to rise $\rightarrow P_1 \rightarrow M_2^d$ rises M_3^d
 $\uparrow r_3$ to r_4

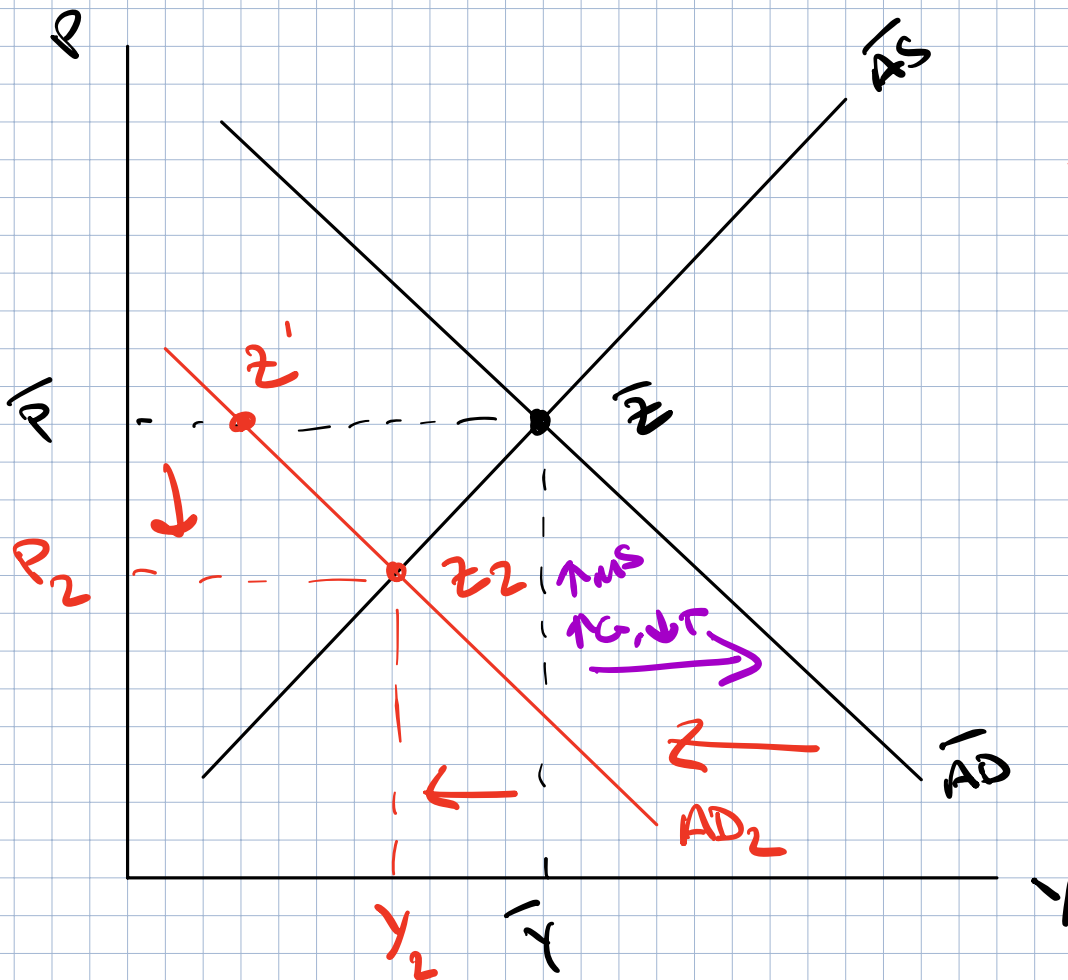
- 5) $\downarrow AC, I^P, \downarrow AE, \downarrow Y$ to $\bar{Y}$

- 6) 4 & 5 $\rightarrow$ move along AD & AS adjust (move along)



Simplify Analysis: focus on AS/AD

Start at $\bar{Y}, \bar{P}, \bar{Z}$ → Pandemic that causes a lockdown



Were not able to spend
 $\downarrow AC, \downarrow I^P$
 $\downarrow AE$

Move from $\bar{Z}$ to Z_2
 $P \downarrow, Y \downarrow$

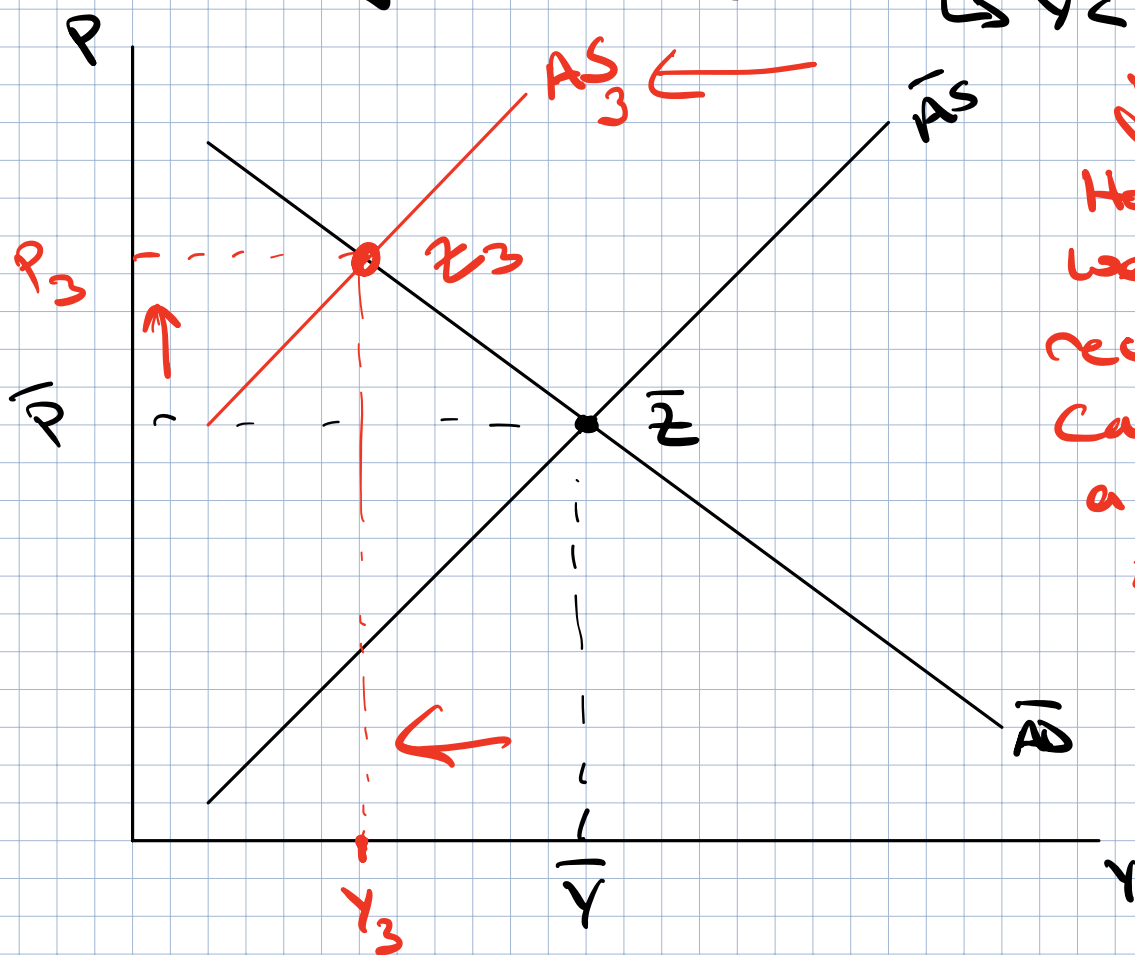
Policy Makers → Monetary or fiscal Policy → AD!
→ Buy bonds → $\uparrow$ in AD, → $\uparrow G, \downarrow T$ → $\uparrow$ in AD

Counter the AD shock

If AD experiences a negative shock
→ AD left → $Y \downarrow, P \downarrow$

Policy response → return to $\bar{Y}, \bar{P}$ → counter shock
→ Push AD right

New Setting: Economy is in a recession
 $\rightarrow Y < \bar{Y}$



How do we know that recession is caused by a negative AS shock?

End up at $Y_3 < \bar{Y} \rightarrow$ Neg. AS shock (Shift left)

New equilibrium $\rightarrow Y_3 < \bar{Y} \text{ \& } P_3 > \bar{P}$

Stagnant Economy Inflation

Stagflation
 $Y \downarrow, P \uparrow$

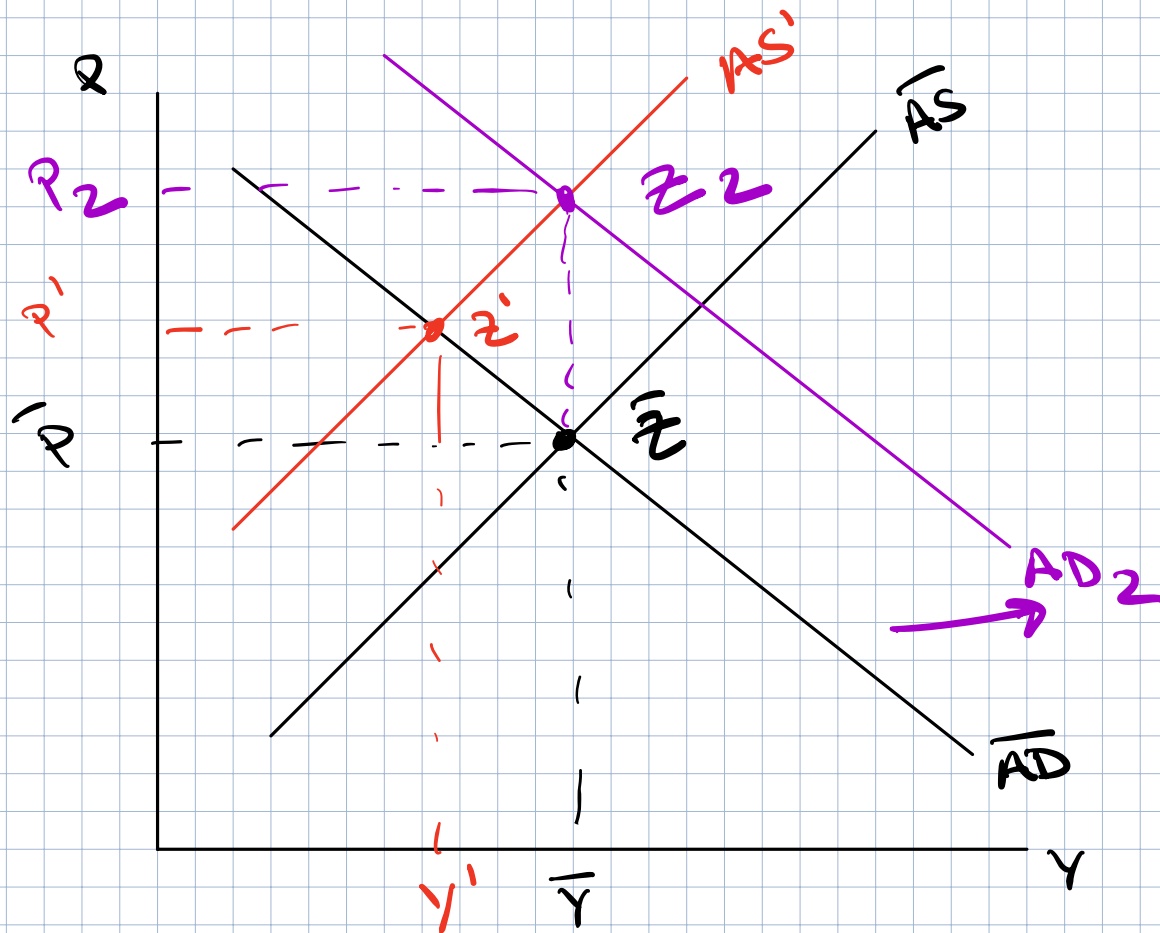
How should Fed respond to AS shock?

Only influence AD $\rightarrow$ Mandate

1) Maximum Employment $\rightarrow \bar{Y}$

2) Price Stability $\rightarrow \bar{P}$

Assume that Fed prioritizes employment over inflation $\rightarrow$ care more about $\bar{Y}$ than $\bar{P}$



What action should the Fed take?

Buy bonds $\rightarrow \uparrow \overline{AD}$ to AD_2

New equilibrium at $Z_2 \rightarrow P_2 > P' > \bar{P}$

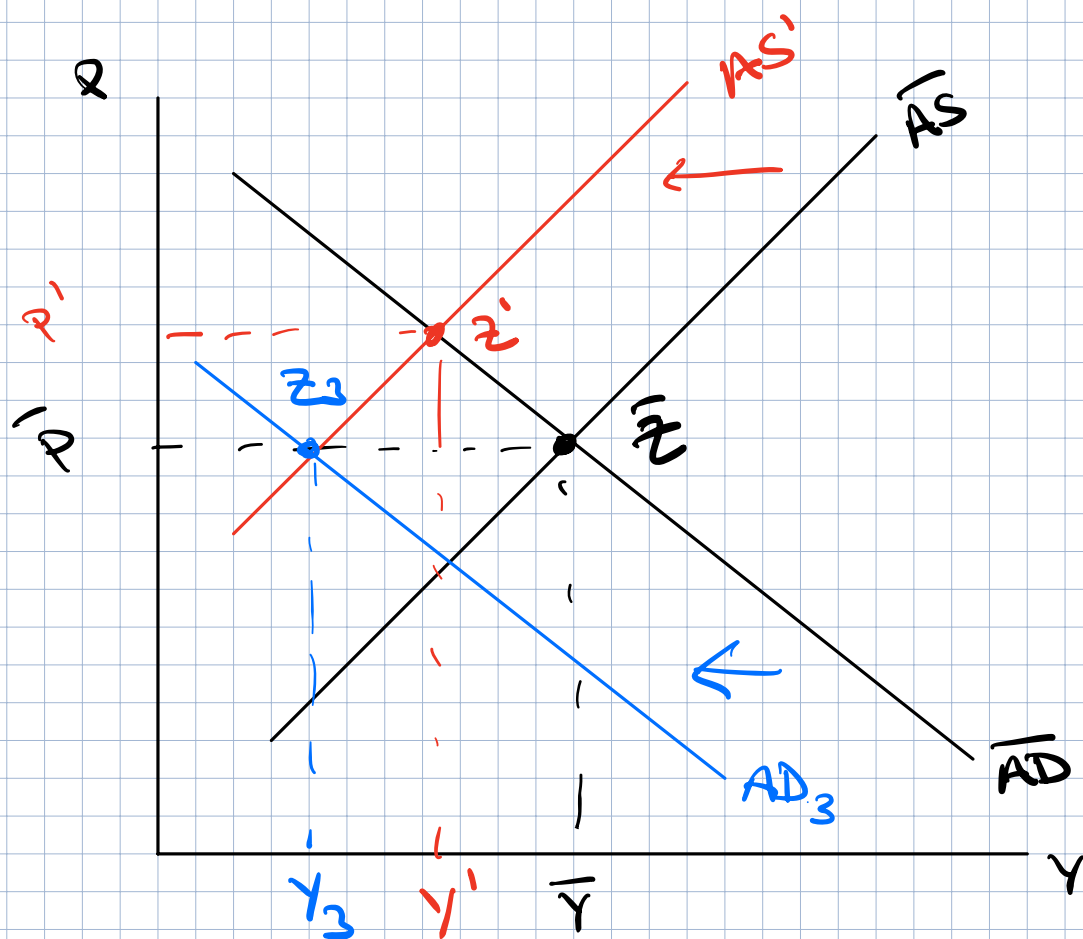
$\rightarrow \bar{Y} \rightarrow$ full-employment

Save jobs for some $\rightarrow \bar{Y}$

Everyone pays higher prices $\rightarrow P_2 > P'$

Non-Aggressive Policy $\rightarrow$ Dove Policy

Dovish $\rightarrow$ Prioritizing jobs



Assume Fed prioritizes Price Stability over employment $\rightarrow P'$ back to $\bar{P}$

Fed can influence AD $\rightarrow$ Sell Bonds $\rightarrow$ AD left
New Equilibrium at $z_3 \rightarrow$ Stable $\bar{P}$

$\hookrightarrow \bar{Y} \rightarrow Y' \rightarrow Y_3 \rightarrow$ more job loss!

Aggressive $\rightarrow$ sacrifice jobs for stable prices

$\downarrow$ loss for some $\downarrow$ for everyone

Hawk Policy $\rightarrow$ Prioritize stable prices
at the expense of jobs

Summary of Policy Responses

<u>Event</u>	<u>Output</u>	<u>Real Policy</u>	<u>Fiscal Policy</u>
Negative AD Shock	$P \downarrow, Y \downarrow$	$\uparrow M^S, \uparrow AD$ Buy Bonds	$\uparrow G, \downarrow T$ $\Rightarrow \uparrow AD$
Positive AD Shock	$P \uparrow, Y \uparrow$	$\downarrow M^S, \downarrow AD$ Sell Bonds	$\downarrow G, \uparrow T$ $\Rightarrow \downarrow AD$
Negative AS	$P \uparrow, Y \downarrow$ Stagflation	Dove: $\uparrow M^S \rightarrow \uparrow AD$ Return to $\bar{Y}$ $P_2 > P' > \bar{P}$ More inflation	$\left\{ \begin{array}{l} \uparrow G, \downarrow T \\ \Rightarrow \uparrow AD \end{array} \right.$
		Hawk: $\downarrow M^S \rightarrow \downarrow AD$ Return to P' $Y_2 < Y' < \bar{Y}$ More unemployment	

What is ideal response to stagflation?

Size of tradeoffs of Y_2 vs $\bar{Y}$ & P_2 vs $\bar{P}$

Allowed to switch from Hawk to Doves